



PHOTO BY NANDAN DAVE

sions provides stability to the company's margin profile. By the time the first wave of the Covid-19 pandemic ebbed, GGL became the first CGD in India to cross 10 million metric standard cubic metres per day (MMSCMD) gas sales volume to touch the record high volume of 12 MMSCMD. Similarly, CNG sales not only recovered sharply but jumped more than 25 per cent over the pre-pandemic level.

Aggressive Expansion Strategy

The company has charted out an aggressive expansion strategy as more regions are opened for CGD operations. It has set its sights on Ahmedabad district, which holds high growth potential due to the presence of a large number of industrial clusters. It recently commissioned 17 new markets, which were won through competitive bidding. It is also looking at expanding its CNG infrastructure at the same pace. It now plans to double capex to ₹1,000 crore from an average of ₹500 crore a year.

KING OF CGD Sanjeev Kumar,
Managing Director, Gujarat Gas

Key Highlights

- ❶ GGL is India's largest city gas distributor with ₹10,000 crore-plus revenues
- ❷ GGL has unveiled a record number of 150 CNG stations in the previous fiscal, the highest by any CGD entity in the country
- ❸ GGL became the first CGD in India to cross 10 MMSCMD gas sales volume, touching a record high of 12 MMSCMD
- ❹ GGL plans to double capex to ₹1,000 crore from an average ₹500 crore a year
- ❺ GGL has charted out an aggressive expansion strategy as more regions are opened for CGD operations. It recently commissioned 17 new markets

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"Gujarat Gas is a successful example of reverse privatisation (it was earlier a private company owned by British Gas). All our processes are aligned with global best practices. In the recent past, we have introduced periodic review for all key performance indicators, which are now helping us periodically monitor business progress," says Kumar. In the past few years, the central government's efforts at extending the gas grid to more cities have resulted in the entry of a large number of public and private sector entities into the CGD business. So, will enhanced competition impact GGL's future growth? "There is no direct impact of this on us as a company since India is a huge market, with enough space for everyone to grow. Moreover, only a fraction of the country has been covered with CGD networks so far. The way the business is expanding, I am confident that we will continue to thrive," asserts Kumar. **BT**

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